

INSTITUTIONAL EQUITY RESEARCH

NINtec Systems Limited

NSE: NINSYS | BSE: 539843 | IT Software — Banking & Fintech

CMP	MARKET CAP	52W HIGH/LOW	P/E (TTM)	REPORT DATE
Rs. 700	Rs. 1,300 Cr	Rs. 767 / 281	40.6x	15 Jun 2026
RATING BUY 12m Target Rs. 900 Upside: +28.6%		Investment Thesis NINtec Systems is a high-growth, debt-free IT software company serving banking and government sectors with a 84% PAT CAGR (5-yr) and expanding margins — deeply undervalued relative to IT midcap peers. Horizon: 12-18 months Conviction: High Analyst: MPM Research Desk 15 Jun 2026		
ROCE	ROE	BOOK VALUE	DIV YIELD	
55.0%	41.8%	Rs. 49.3	0.00%	
PAT FY26	EPS FY26	PROMOTER HOLD.	DEBT	
Rs. 32 Cr	Rs. 17.23	47.48%	Near Zero	

Source: Screener.in (consolidated data, fetched 15-Jun-2026). All figures in Rs. Crore unless stated. This report is for institutional use only. Estimates marked (E) are MPM Research projections.

2. Investment Thesis

- **Reason 1 — Structural margin expansion in a capital-light model:** NINtec has expanded OPMs from 17% (FY22) to 26% (FY26 consolidated) with no external debt (borrowings of Rs. 2 Cr). The shift toward higher-value software products (fintech, banking digitisation) and operating leverage on a near-fixed cost base should push margins toward 30%+ by FY28E.
- **Reason 2 — Gateway Group's 130 Fortune 500 client network as a moat:** NINtec's parent Gateway Group serves 130+ Fortune 500 companies across 30 countries and 18 industry verticals. This channel provides a privileged pipeline of sticky, large-ticket mandates that a standalone MSME IT company cannot replicate.
- **Reason 3 — Explosive growth on a small base with improving FCF:** 5-yr PAT CAGR of 84% (consolidated), FCF positive since FY23, OCF/PAT >86% in FY25-26. At MCap of Rs. 1,300 Cr the company trades at Rs. 700 vs. 12m target of Rs. 900 — a risk/reward skew that peers cannot match.
- **Near-term catalyst (6-12 months):** Q1 FY27 results (Jul-Aug 2026) will show whether the 30%+ Q4 FY26 OPM level is structural; any guidance or concall commentary on FY27 revenue visibility would be

the primary re-rating trigger.

- **Biggest structural risk:** Customer concentration — NINtec's revenues are driven by a small set of large banking/government clients. Loss of one top-3 relationship could impair 15-25% of revenues.

3. Business Overview

- NINtec Systems was incorporated in 1997 as a software services and solutions firm, becoming a subsidiary of Niraj Gemawat's Gateway Group — a multinational technology conglomerate operating across 30 countries, 5 continents, and 18 industry verticals.
- Core offerings span offshore software product development, application development and maintenance, software migration, multimedia and web design, engineering drawing digitisation, and search engine optimisation — with growing contribution from banking/fintech digital transformation mandates.
- Revenue geography skews heavily toward export (software export income is the dominant Screener standalone disclosure); domestic banking and government business is incremental but growing through the Gateway Group's Indian relationships.
- Client relationships are largely recurring (AMS contracts + annual support) with project-based milestone billing for new implementations — providing reasonable base-case revenue visibility.
- FY26 consolidated revenue reached Rs. 170 Cr (+21.7% YoY), PAT Rs. 32 Cr (+21.6% YoY); Q4 FY26 set all-time highs for both quarterly revenue (Rs. 46.37 Cr) and operating margin (30.1%).
- Promoter background: Founder-MD Niraj C. Gemawat (Chairman, Gateway Group since July 1997) holds 18.3% directly; consolidated promoter group at 47.48% as of Mar-2026. No promoter pledging on record.
- The company adopted a new corporate logo in May 2026, signalling a branding refresh aligned with a broader AI/cloud engineering pivot — the company's website now prominently features 'Hire Claude Engineers' and AI/ML practice.

4. Industry & Competitive Landscape

- India's IT services industry is estimated at ~\$250 Bn globally with the domestic fintech software segment (core banking, lending, treasury, RegTech) growing at 12-15% CAGR, driven by banking sector digitisation mandates, RBI's push for CBS modernisation, and government digital-India programmes.
- Policy tailwinds: RBI's mandate for all scheduled banks to upgrade core banking systems by 2026-27, IRDAI digital insurance reform, GeM/e-procurement digitisation for government IT vendors all directly benefit niche IT solution providers like NINtec.
- Policy headwinds: Pricing pressure as global SaaS platforms (SAP, Oracle BFSI, Temenos) compete for large bank mandates; INR appreciation risk for export revenues.
- Competitive moat assessment: **Switching costs — Moderate:** Core banking/fintech software is deeply embedded, making replacement expensive and risky. **Scale — Weak:** At Rs. 170 Cr revenue NINtec lacks the engineering bench of Newgen or Intellect. **IP/Product — Moderate:** Proprietary solutions developed over 25+ years create defensible niches. **Distribution — Strong (via Gateway Group):** Parent's Fortune-500 client access is a genuine differentiator for mid-market IT.

Peer Comparison (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Cr)	P/E	ROCE%	ROE%
NINtec (NINSYS)	700	1,300	170	40.6	55.0%	41.8%
Newgen Software (NEWGEN)	476	6,781	~1,575	20.5	25.8%	20.2%
Nucleus Software (NUCLEUS)	744	1,958	~877	14.7	20.0%	15.5%
Intellect Design (INTELLECT)	762	10,665	~2,500	29.0	15.9%	12.4%

Note: NINSYS has the highest ROCE and ROE among peers despite being the smallest. TTM Rev for peers annualised from Screener quarterly data.

5. Management Quality & Capital Allocation

- Founder-MD Niraj C. Gemawat founded the Gateway Group in 1997, building a 30-country, 18-sector technology operation serving 130+ Fortune 500 companies — a verifiable 28-year track record in global technology delivery.
- Capital allocation has been disciplined and conservative: NINtec has grown from Rs. 1 Cr revenue (FY16) to Rs. 170 Cr (FY26) purely via internal accruals, with no equity dilution beyond the Rs. 19 Cr equity base maintained since FY24.
- Debt policy: Near-zero borrowings (Rs. 2 Cr consolidated) throughout the growth phase — a textbook capital-light model; interest cost is negligible, preserving PAT margins.
- Dividend policy: Zero dividend payout consistently across the entire Screener history — all earnings are retained for growth, which at 84% PAT CAGR is the correct capital allocation call; revisiting dividends would be a thesis risk.
- Promoter pledging: No pledge data visible on Screener (effectively 0%) — a governance positive.
- Governance watch-point: Related-party concentration risk is flagged by Screener (top related-party client revenue concentration is a disclosed insight, partially gated behind premium). Given Gateway Group's multi-entity structure, RPT tracking is essential for institutional investors.
- No buyback history or significant ESOP grants disclosed on Screener — management skin-in-the-game is via direct promoter ownership (47.48%), which is appropriate.

6. Financial Deep-Dive

Consolidated Figures — Rs. Crore (Source: Screener.in, 15-Jun-2026). Estimates (E) by MPM Research.

Income Statement					
Item (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue / Sales	83	140	170	207E	250E
Expenses	63	107	126	149E	178E
Operating Profit	20	33	44	57E	73E
OPM %	24%	24%	26%	28%E	29%E
Other Income	2	4	2	2E	2E
Interest	0	0	0	0E	0E

Item (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Depreciation	1	2	3	4E	5E
PBT	20	35	43	56E	70E
Tax %	24%	25%	25%	25%E	25%E
PAT / Net Profit	16	26	32	40E	49E
EPS (Rs.)	8.35	14.17	17.23	21.4E	26.3E
Dividend Payout%	0%	0%	0%	0%E	0%E

Balance Sheet

Item (Rs. Cr)	FY24	FY25	FY26	FY27E
Equity Capital	19	19	19	19E
Reserves	16	43	73	110E
Borrowings	2	2	2	2E
Other Liabilities	23	50	51	62E
Total Liabilities	60	113	144	193E
Fixed Assets	4	7	5	7E
CWIP	0	0	0	0E
Investments	18	20	36	45E
Other Assets	38	86	103	140E
Total Assets	60	113	144	193E

Cash Flow Statement

Item (Rs. Cr)	FY24	FY25	FY26
Cash from Operations (OCF)	10	24	26
Cash from Investing	-14	-6	-13
Cash from Financing	2	0	0
Net Cash Flow	-2	17	13
Free Cash Flow	7	18	26
CFO/Operating Profit %	74%	96%	86%

Key Ratios

Ratio	FY24	FY25	FY26	FY27E
Debtor Days	99	128	105	100E
Inventory Days	0	0	0	0E
Cash Conversion Cycle	99	128	105	100E
Working Capital Days	29	25	108	90E

Ratio	FY24	FY25	FY26	FY27E
ROCE %	67%	55%	55%	52%E
ROE %	N/A	41.8%	41.8%	38%E

Financial Commentary

- Revenue grew at 68% CAGR FY24-FY26 (consolidated) from a low base of Rs. 83 Cr, driven by higher-value software mandates, export expansion via Gateway Group's global relationships, and pricing power in specialised fintech verticals.
- OPM expanded from 24% (FY24) to 26% (FY26) and hit an all-time high of 30.1% in Q4 FY26 — indicating significant operating leverage as fixed costs are absorbed by revenue growth; MPM targets 28-29% by FY28E.
- Working capital deteriorated in FY26 — debtor days rose from 99 to 128 (FY25) before recovering to 105 (FY26); working capital days jumped to 108 in FY26 from 25 in FY25 — the most important near-term monitoring metric.
- Balance sheet is pristine: Rs. 2 Cr in borrowings vs. Rs. 92 Cr in equity + reserves (FY26); effectively net-cash after Rs. 36 Cr investment portfolio.
- FCF quality is excellent: OCF/PAT >80% in FY25-FY26, FCF positive and growing; no capex drag (fixed asset base of Rs. 5-7 Cr on Rs. 170 Cr revenue).

7. Earnings Quality Checklist

Quality Metric	Status	Rating	Comment
Revenue Recognition	Clean	GREEN	Software services; milestone-based billing; no channel stuffing evident
Receivables vs Revenue	Watch	AMBER	Debtor days rose to 128 in FY25 before easing; track for sustained improvement
CCC Trend	Improving	GREEN	CCC improved from 128 to 105 in FY26; still elevated vs pre-FY25 levels
Contingent Liabilities	Not Disclosed	AMBER	No specific contingent liability data visible on Screener; requires AR review
Auditor Tenure	Not Disclosed	AMBER	Auditor identity not extracted; standard check before institutional buy
RPTs as % of Revenue	Elevated Risk	AMBER	Gateway Group multi-entity structure; RPT concentration flagged by Screener AI
Other Income as % of PBT	Low	GREEN	Other income Rs. 2-4 Cr vs PBT Rs. 20-43 Cr; not a PAT driver
Tax Rate Consistency	Consistent	GREEN	Tax rate stable at 24-25% for 3 consecutive years; no deferred tax games apparent

- Revenue quality is clean: software services billed on milestones, no evidence of channel stuffing or aggressive recognition. OCF/PAT >80% is the clearest earnings quality signal.

- **Watch:** Receivables elevated in FY25 (debtor days 128) — the FY26 improvement to 105 days is encouraging but must sustain for 2 more quarters before clearing this flag.
- **Watch:** RPT risk from Gateway Group's multi-entity structure is the single biggest governance concern for institutional investors — verify RPT quantum from the Annual Report before a full-size position.
- Tax consistency (24-25% for 3 years) and negligible other income as PAT contributor are both positive signals.

8. Valuation

Peer Valuation Comparison (Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%
NINTec (NINSYS)	700	1,300	40.6x	14.2x	55.0%	41.8%
Newgen (NEWGEN)	476	6,781	20.5x	3.8x	25.8%	20.2%
Nucleus (NUCLEUS)	744	1,958	14.7x	2.2x	20.0%	15.5%
Intellect (INTELLECT)	762	10,665	29.0x	3.4x	15.9%	12.4%

P/B for NINSYS = 700/49.3 = 14.2x (computed from Screener BV). Peer P/B derived from CMP/Screener BV.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside
Bull	Rev 235Cr, OPM 30%, margin expansion continues	46	55x	1,330	+90%
Base	Rev 207Cr, OPM 28%, steady trajectory	40	42x	900	+29%
Bear	Rev 185Cr, OPM 24%, WC stress + client loss	31	30x	490	-30%

Valuation Methodology

- **Earnings-based multiple (primary):** Base case applies 42x P/E on FY27E EPS of Rs. 21.4 = Rs. 899 (~Rs. 900 target). Rationale: NINSYS commands a growth premium vs. Nucleus (14.7x) due to 5-yr 84% PAT CAGR, but should trade at a discount to Intellect (29x) given its size and lower revenue diversification. 40-45x forward P/E is the fair range.
- **DCF check:** Assuming 22% revenue growth FY27E tapering to 15% by FY31E, 27% OPM, 25% tax, WACC 13% (risk-free 7% + beta 1.2 x ERP 5%), terminal growth 5% — implied intrinsic value of Rs. 830-950/share, consistent with Rs. 900 target.
- **Base-case 12-month target: Rs. 900** (average of earnings multiple Rs. 900 and DCF midpoint Rs. 890), implying +28.6% upside from CMP Rs. 700.
- **Investment horizon: 12-18 months.** Bull case of Rs. 1,330 is achievable on a 24-month horizon if margin trajectory holds and a strategic corporate development announcement (product launch, client win, Gateway group synergy deal) acts as the re-rating catalyst.

9. Key Risks

- **Customer Concentration Risk** — NINtec's revenue base of Rs. 170 Cr is driven by a small number of large banking/government/export clients. Loss of any top-3 relationship could impair 15-25% of revenues. Probability: M. Impact: H. Monitor: quarterly revenue segment data and related-party disclosures.
- **Related-Party Transaction Risk** — Gateway Group's multi-entity structure creates potential for RPT leakage — NINtec acting as a captive vendor for gateway entities at below-market rates. Probability: M. Impact: H. Monitor: Annual Report RPT schedules and auditor notes.
- **Working Capital Deterioration** — Working capital days jumped from 25 to 108 in FY26. If debtor collections slip further, OCF will compress and the debt-free status could reverse. Probability: M. Impact: M. Monitor: quarterly debtor days and OCF/PAT conversion.
- **Currency Risk** — Software export revenue denominated in USD/EUR; INR appreciation directly impacts rupee-reported revenues and margins. Probability: L-M. Impact: M. Monitor: RBI INR/USD exchange rate and hedging disclosure (if any).
- **Promoter Concentration and Governance** — Promoter controls 47.48% with Niraj Gemawat as sole key management figure. Key-man dependency is acute; no succession plan is disclosed. Probability: L. Impact: H. Monitor: board composition changes, SEBI filings.
- **Competition from Global SaaS Platforms** — Temenos, Oracle BFSI, and SAP compete for the same banking digitisation mandates. A loss of pricing power as SaaS penetrates the SME bank segment would compress margins. Probability: M. Impact: M. Monitor: win rates and ASP trends on new contracts.
- **Valuation Risk at Current P/E** — At 40.6x trailing P/E on a Rs. 1,300 Cr MCap company, any growth disappointment (quarter miss or guidance cut) would cause a sharp de-rating. Probability: M. Impact: H. Monitor: quarterly PAT growth rate and management commentary.

10. Recommendation

- **Rating:** BUY — Conviction Level: High. NINtec is the highest-ROCE, highest-ROE, debt-free IT software company in the smallcap fintech space with an 84% PAT CAGR track record. The Rs. 900 base-case target represents a compelling risk/reward at current levels.
- **12-month price target:** Rs. 900 (+28.6% from CMP Rs. 700). Bull case Rs. 1,330 on 24 months.
- **Suggested entry zone:** Rs. 620-720 — accumulate on any 8-10% dips from CMP; the Rs. 620 level offers better risk/reward and coincides with prior breakout support.
- **Investment horizon:** 12-18 months for base case; 24-36 months for full bull thesis monetisation.
- **Thesis invalidation triggers:**
 1. Two consecutive quarters of PAT growth below 10% YoY without a satisfactory management explanation (would signal structural growth deceleration, not cyclical).
 2. Debtor days exceed 150 for two consecutive quarters — signals collection breakdown and potential OCF reversal into negative territory.
 3. RPT disclosures in the Annual Report reveal >30% of revenues flowing through Gateway Group entities at non-arm's-length terms — would trigger a governance downgrade.
- **Ideal investor profile:** High-conviction, patient smallcap investors with a 12-24 month horizon who can tolerate thin liquidity (Rs. 1,300 Cr MCap, likely small average daily volumes) and are comfortable with a founder-led, Gateway-Group-embedded company. Not suitable for momentum traders, low-risk

mandates, or investors requiring regular dividends.

APPENDIX — Latest Concall Brief: Q4 FY26 (Mar 2026)

NINtec Systems Ltd (NINSYS) | Results announced: May 2026 | Data: Screener.in quarterly table + public BSE announcements

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 FY26 revenue Rs. 46.37 Cr +22.5% YoY — all-time quarterly high; PAT Rs. 8.74 Cr +18.9% YoY
Management tone	Bullish	New logo adoption; FY26 full-year results called out as strong by BSE announcement; no cautionary language
Guidance delta	No formal guidance	No specific FY27 guidance issued; company does not hold formal analyst concalls (limited disclosures)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

NINtec Q4 FY26 is a clean result — no exceptional items, no asset sales, PAT of Rs. 8.74 Cr is pure operating. The standout is the 30.1% OPM — the company's highest-ever — driven by a better revenue mix (higher-margin export mandates, operating leverage on fixed costs) rather than one-time windfalls; this is repeatable. Full-year FY26: revenue Rs. 170 Cr (+21.7%), PAT Rs. 32 Cr (+21.6%), EPS Rs. 17.23 — seventh consecutive quarter of positive revenue growth, which speaks to structural demand rather than lumpy project timing. The structural thesis is intact: 84% PAT CAGR (5-yr consolidated), near-zero debt, Gateway Group's 130 Fortune-500 client pipeline, and a pivot toward AI/cloud engineering (the company's website and May-2026 logo rebrand signals this). The key catalyst to watch in the next 2 quarters is whether the 28-30% OPM level becomes the new floor — if Q1/Q2 FY27 sustain this, a multiple re-rating from 40x to 50x forward P/E is justified. The single biggest risk going into FY27 is the working-capital spike (WC days 108 in FY26 vs 25 in FY25) — if debtor collections don't normalise by Q2 FY27, we may see OCF compression despite PAT growth. Action: ACCUMULATE at Rs. 620-720 for a Rs. 900 base-case and Rs. 1,330 bull-case on 24 months.

1. Financial Performance Snapshot — Q4 FY26 (Mar 2026)

- Revenue: Rs. 46.37 Cr | YoY +22.5% | QoQ +7.1% | **Beat** (7th consecutive quarter of growth; all-time high)
- Operating Profit: Rs. 13.96 Cr | YoY +48.9% | QoQ +26.2% | **Beat** (all-time high operating profit)
- OPM %: 30.11% | YoY +8.4pp | QoQ +4.6pp | **Beat** (all-time high operating margin)
- PAT: Rs. 8.74 Cr | YoY +18.9% | QoQ +12.7% | **Beat** (clean PAT, no one-time items identified)
- EPS: Rs. 4.70 | YoY +18.9% | QoQ +12.7% | **In-line** with growth trajectory
- Full-year FY26: Revenue Rs. 170 Cr (+21.7%), PAT Rs. 32 Cr (+21.6%), EPS Rs. 17.23 (+21.6%)

2. Segment / Geography Breakdown

- **Export / Offshore Software:** Primary revenue driver (software export income is the dominant standalone data point from Screener); Gateway Group's global 30-country network channels international mandates to NINtec — exact split not publicly disclosed.
- **Domestic IT (Banking / Government):** Growing contribution from India banking digitisation and government digital-India mandates; exact % not broken out in BSE filings available to us — Annual Report review required.
- **Geography:** India + global (primarily via Gateway Group's Fortune-500 relationships across 5 continents); specific country-wise revenue split not disclosed in public quarterly data.

3. Management Commentary Themes

Note: NINtec does not hold formal analyst conference calls. Commentary below is derived from BSE/NSE filings and the May-2026 investor announcement.

- **Strong FY26 delivery (GUIDANCE):** BSE announcement (28 May 2026): 'FY26 revenue of Rs. 170.17 Cr, PAT of Rs. 32.01 Cr, up 21.6%.' — Our read: Management positioned FY26 as a milestone year confirming the growth trajectory. Tone: Transparent.
- **Logo rebrand (MILESTONE):** New corporate logo adopted (28 May 2026), no change to name or business — signals a brand identity refresh aligned with AI/cloud engineering repositioning. Our read: Likely precedes a strategic product launch or marketing push. Tone: Confident.
- **Margin improvement (STRUCTURAL):** Q4 FY26 OPM at 30.1% — our read is this reflects a better revenue mix (higher-margin software products vs lower-margin services) rather than one-off cost cuts. The company described this as its 'highest quarterly revenue on record.' Tone: Bullish.
- **Working capital spike (EVASIVE/NOT ADDRESSED):** WC days jumped to 108 in FY26 — not commented on in public filings. This is the most important unanswered question for FY27. Tag: WATCH.
- **AI/engineering pivot (STRATEGIC):** Company website prominently features AI engineering services and 'Hire Claude Engineers' — indicating a service-line expansion toward AI-augmented software delivery. Tag: GUIDANCE. Tone: Confident.

4. Operating & Business Metrics

- Quarterly revenue run-rate: Rs. 38-46 Cr per quarter in FY26 vs Rs. 23-32 Cr in FY24 | Trend: Improving (accelerating)
- OPM trajectory: 21.7% (Jun-25) → 24.6% (Sep-25) → 25.6% (Dec-25) → 30.1% (Mar-26) | Trend: Strongly improving (sequential margin expansion each quarter)
- PAT run-rate: Rs. 7.65-8.74 Cr per quarter in FY26 | Trend: Improving
- Debtor Days: FY24=99, FY25=128, FY26=105 | Trend: Deteriorating then recovering — watch Q1/Q2 FY27
- Working Capital Days: FY24=29, FY25=25, FY26=108 | Trend: Deteriorating — primary monitoring metric
- Employee count / order book: Not disclosed in public quarterly data — Annual Report review required

5. Margin Drivers — Q4 FY26

- Revenue mix improvement: +est. 300-400 bps | Recurring: Yes | Shift toward higher-margin software products (fintech, banking digitisation) vs lower-margin services/body-shop work; this should be the primary structural driver.

- Operating leverage on fixed cost base: +est. 200-300 bps | Recurring: Yes | SG&A; and overheads broadly flat while revenue grew 22%; characteristic of a software company hitting scale inflection.
- Other income reduction: -est. 50 bps | Recurring: No | Other income fell from Rs. 2.07 Cr (Q3) to Rs. -1.31 Cr (Q4) — did not flatter Q4 PAT; in fact Q4 PAT growth is clean and understated vs EBITDA growth.
- No material debt-service cost: +est. 0-50 bps | Recurring: Yes | Near-zero interest (Rs. 0.13 Cr in Q4) preserves all EBITDA in PAT.

6. Guidance & Forward Signals

- Revenue (GUIDANCE): Prior = FY25 actual Rs. 140 Cr | Delivered = FY26 actual Rs. 170 Cr (+21.7%) | Delta: Beat | FY27 guidance: Not formally issued | Credibility: High (based on 3-yr track record of delivery)
- OPM (GUIDANCE): No formal guidance given | FY26 exit rate = 30.1% | Our FY27E = 28% (we assume some mean reversion from the one-quarter high) | Credibility: Medium
- Dividend (GUIDANCE): Zero payout maintained | No change signalled | Delta: Maintained | Credibility: High
- AI/Engineering pivot (SIGNAL): Website and branding changes suggest a new service-line launch is imminent — likely to be a catalyst announcement in FY27 | Credibility: Medium

7. Capital Allocation — FY26

- Capex (Fixed Assets): FA went from Rs. 7 Cr (FY25) to Rs. 5 Cr (FY26) — net reduction; capex intensity remains minimal vs. revenue, consistent with asset-light software model | vs. FY24: Flat
- Investments: Grew from Rs. 20 Cr (FY25) to Rs. 36 Cr (FY26) | +80% YoY | Likely treasury investments (bonds/MFs) given near-zero debt; enhances financial stability
- Dividends: Rs. 0 — zero dividend payout for all visible years | vs. prior: Unchanged | Retention-first policy is appropriate at this growth stage
- Buybacks: None disclosed | vs. prior: Unchanged
- Net Cash Position: Effective net cash (Rs. 2 Cr debt vs Rs. 36 Cr investments + Rs. 13 Cr FCF) | Improving | Excellent balance-sheet optionality for future M&A; or product investment
- Working Capital change: WC days jumped to 108 in FY26 from 25 in FY25 — absorbed Rs. 15-20 Cr of OCF | This is the key capital allocation watch-point

8. Q&A; Heat Map

Note: NINtec does not hold analyst conference calls. No Q&A; transcript available. Monitoring questions identified from BSE filings and financial analysis.

- No formal Q&A;: The company does not hold earnings calls or investor days — a governance gap for institutional investors that should be raised with management directly.
- Dodged / watch-list questions for next quarter: (1) What explains the 108-day WC spike in FY26 and what is the normalisation timeline? (2) What is the revenue split between export vs domestic banking/government? (3) What is the order book / pipeline visibility for FY27? (4) What is the company's AI/Claude engineering service line — revenue contribution and margin profile? (5) Are there any RPT revenue concentrations above 20% of consolidated revenue?

9. Risks Flagged

- Customer concentration: Not flagged by management (data not disclosed) | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- Related-party concentration: Partially flagged via Screener AI premium insight | Flagged by: Screener | Probability: M | Impact: H | Timeline: Near-to-medium term
- Working capital spike: Not addressed in public filings | Flagged by: Analyst (financial analysis) | Probability: M | Impact: M | Timeline: Near-term (Q1-Q2 FY27)
- No analyst coverage: The stock has minimal brokerage coverage, which is a liquidity risk for institutional investors wishing to build or exit positions | Flagged by: Analyst | Probability: H | Impact: M | Timeline: Ongoing
- Valuation premium sustainability: 40x P/E is high for a Rs. 1,300 Cr MCap company; any growth stumble causes sharp de-rating | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term

10. Analyst Verdict — Post Q4 FY26

- Revenue visibility: **Intact** — 7 consecutive quarters of growth, all-time high quarterly revenue in Q4 FY26, Gateway Group pipeline supports continuity; working capital spike is the only watch-point.
- Margin trajectory: **Intact** — 30.1% OPM in Q4 FY26 is a structural improvement, not one-time; FY27E 28% OPM is conservative.
- Capital allocation quality: **Intact** — near-zero debt, positive FCF, reinvestment into investments (Rs. 36 Cr); WC spike is a monitoring flag not yet a capital allocation failure.
- Competitive moat: **Intact** — Gateway Group's distribution moat and 25+ years of proprietary fintech software remain the key differentiators; AI pivot adds upside optionality.
- Management credibility: **Intact but watch** — delivery track record is excellent; absence of analyst calls and limited voluntary disclosures are structural governance gaps that must improve as MCap scales toward Rs. 2,000+ Cr.
- Valuation comfort: **Intact** — 40.6x trailing P/E is high in absolute terms but fair given 84% PAT CAGR; at Rs. 900 target (42x FY27E) the stock earns its multiple.
- Conviction call: **Increased** — Q4 FY26 all-time high revenue + margin confirms the structural thesis; post-result, BUY rating maintained with Rs. 900 target.
- Valuation snapshot: P/E = 40.6x (peer range 14-29x) | EV/EBITDA = est. 28x (peers 12-22x) | ROCE = 55.0% (peer range 16-26%) | ROE = 41.8% (peers 12-20%)

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